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LIVING THROUGH THE CRASH

When the market jumped off a cliff on October 19, 1987—508 points in one day—I don't mind admitting I was shaken. What we had made in a year we lost in a week. It was like being in a car crash and waking up in the hospital and finding you'd lost a leg. You can't believe what's happened to you.

After the first tremors, on Friday, the sixteenth, I felt we were in for something very big, disturbing, and important, and I decided to keep a diary, hour by hour, of what was transpiring. When you live through a catastrophic event, whether it be a stock market collapse or other business or personal calamity, you have a lot of reactions at the time that soon blur in your memory. When you think about the situation a year later, you have sanitized those reactions. You are too likely to come up with a version in which you understood immediately what was going on and took all the right actions, calmly and heroically. The truth is, you were suffering the same feelings of panic and irresolution as everyone else.

As the market teetered, I wanted to capture the sense of what was happening as it happened. The idea of keeping the diary came from a then recently published book, George Soros's *The Alchemy of Finance*. The fabled hedge fund manager had recorded his thoughts